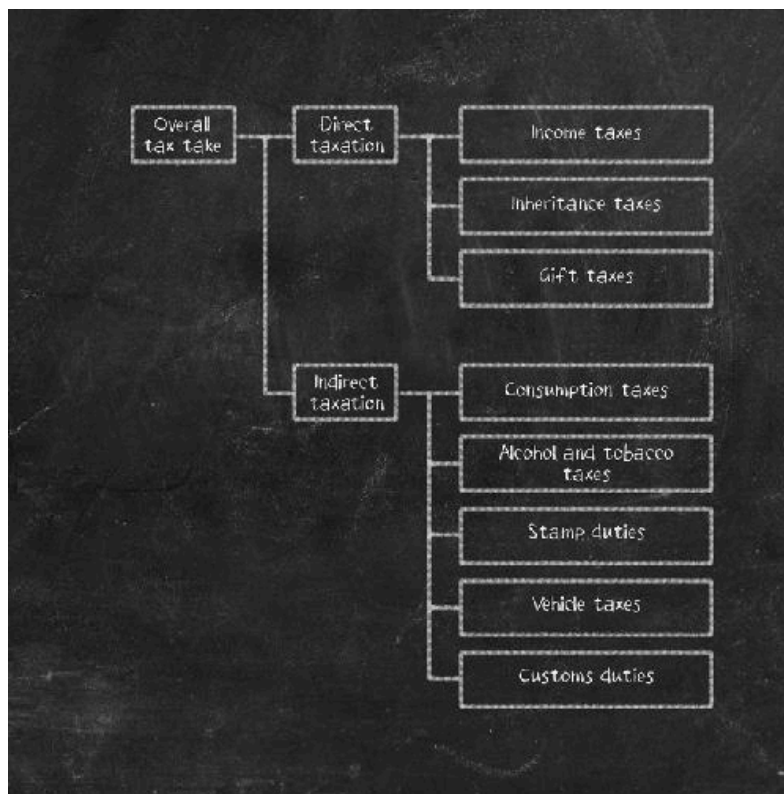


Direct and indirect taxation



A direct tax is imposed on particular individuals or companies who pay the tax authorities directly – you typically have no choice about whether to pay it. For example, workers pay income tax and companies pay taxes on their profits. Indirect taxes, meanwhile, aren't imposed on particular individuals. They are typically collected by intermediaries like a shop and then passed onto the government. The most common form of an indirect tax is a tax on transactions such as a sales tax, and by refraining from a purchase one wouldn't pay the tax.

It is sometimes argued that indirect taxes such as sales taxes are preferable to income taxes because taxes on labour discourage people from working. But even indirect taxes reduce real income by increasing prices, and taxes on some products rather than others distort the relative prices of goods, making markets work less efficiently. Indirect taxes are also criticized as 'regressive':

lower income groups end up paying relatively more in tax as a share of their income.